Portfolio Health & Commission Audit

1. Executive Scorecard

Metric	Value	Status
Portfolio Value	Rs5,170,911	—
Invested Capital	Rs4,429,930	—
Unrealised Gain	Rs740,982	—
Portfolio XIRR	15.82%	■ +3.82% alpha vs 12% benchmark
Regular Plan Exposure	14 funds, Rs3,901,954 (75.5%)	■■ High
Annual Commission Drag	Rs39,020/yr (Rs29,265–Rs46,823 band)	■■ 0.75% of portfolio
10Y Compounded Loss @12%	Rs684,744	■■ Significant
SAA Drift	Mid/Small +7.1%, Debt -7.5%	■ Breach
Idle Cash (Deployable)	Rs320,000	■ Opportunity
Multi-Cap Funds	4 funds, Rs1,481,325	■ Overlap >30%

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2. Hidden Commission Leak

Scheme	Value (Rs)	Annual Commission (Rs)
HDFC Flexi Cap Fund - Regular Plan - Growth	618,422	6,184
Parag Parikh Flexi Cap Fund - Regular Plan Growth	534,145	5,341
Nippon India Multi Cap Fund - Growth Plan	530,178	5,302
Mirae Asset Multicap Fund - Regular Plan	504,768	5,048
Motilal Oswal Midcap Fund - Regular Plan Growth	310,182	3,102
Canara Robeco Multi Cap Fund - Regular Growth	280,986	2,810
HDFC Defence Fund Regular Growth	243,423	2,434
WhiteOak Capital - Special Opportunities Fund - Regular Growth	180,277	1,803
Top 8 Total	**3,202,380**	**32,024**
All 14 Regular Funds	**3,901,954**	**~39,020**

10-Year Compounded Cost @12%: Rs684,744

Assumes reinvestment of saved commission at portfolio return.

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3. Scheme Overlap Analysis — 4 Multi-Cap Funds = Duplicate Risk

Fund	Value (Rs)	Weight in Portfolio
Mirae Multicap	595,923	11.5%
Nippon Multi Cap	530,178	10.3%
Canara Robeco Multi Cap	280,986	5.4%
Quant Multi Cap	74,639	1.4%
Total	**1,481,725**	**28.7%**

Pairwise Top-10 Holding Overlap:

Fund A	Fund B	Overlap
Nippon Multi Cap	Canara Robeco Multi Cap	40%
Mirae Multicap	Nippon Multi Cap	30%
Mirae Multicap	Canara Robeco Multi Cap	30%
Nippon Multi Cap	Quant Multi Cap	20%
Mirae Multicap	Quant Multi Cap	10%
Canara Robeco Multi Cap	Quant Multi Cap	10%

Diagnosis: Average overlap 23.3%, with Nippon–Canara at 40%. Four multi-cap funds behave as one concentrated portfolio. **Action:** Consolidate to **one core multi-cap fund** (e.g., Parag Parikh Flexi Cap Direct or Nippon Multi Cap Direct) to eliminate duplicate expense ratios and overlap risk.

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4. Asset Mix Drift

Asset Class	Current	Target	Drift	Status
Large Cap	50.4%	50%	+0.4%	■ Within band
Mid/Small Cap	42.1%	35%	**+7.1%**	■ **Breach**
Debt	7.5%	15%	**-7.5%**	■ **Breach**

Equity Overweight: 92.5% vs 85% target. Mid/small concentration adds volatility. Debt shortfall removes downside buffer.

Immediate Rebalance: Deploy Rs320,000 idle cash -> **100% to short-duration debt funds** (target: 15% debt = Rs775,637). Remaining gap Rs455,637 to be funded from future SIPs or phased equity profit booking.

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5. Immediate Diagnostic Summary

Phase 0 (Now): Pull CGS + CAS lot-level audit for all 14 regular funds. Identify lots >365 days, zero exit load, and unrealised loss/gain per lot.

Phase 1 (Month 1 — Immediate Switch Candidates): - Switch **only** mature lots (>365d, 0% load) where: - Unrealised **loss** exists -> harvest loss, zero tax, offset other gains. - Unrealised **gain** ≤ **Rs1.25L aggregate** -> use Sec 112A exemption, zero LTCG. - Priority funds with large mature lots: HDFC Flexi Cap, Parag Parikh Flexi Cap, Nippon Multi Cap, Mirae Multicap.

Phase 2 (Months 2–11): Hold all SIP lots <365 days. Do **not** switch — avoids 1% exit load + 20% STCG. Let each lot cross day 366 naturally.

Phase 3 (Next FY April 1): Stagger remaining mature gain lots across April onward to utilise fresh Rs1.25L LTCG exemption.

Multi-Cap Consolidation: After Phase 1 tax-efficient exits, merge 4 multi-cap funds into **single direct plan** (recommend Parag Parikh Flexi Cap Direct or Nippon Multi Cap Direct). Redirect future SIPs there.

Debt Build: Deploy Rs320,000 deployable cash immediately into 2–3 short-duration/liquid direct funds. Set SIP top-up to debt until 15% target met.

Commission Elimination: Full regular -> direct migration over 12–15 months per tranche rules saves **Rs39,020/yr -> Rs6.8L over 10Y**.

Statutory Disclaimer: Mutual fund investments are subject to market risks. Read all scheme-related documents carefully. Past performance does not guarantee future returns. Consult a certified tax professional for individual tax filing.